INVESTORIQ

Final Attack Test 8 RETEST 5

Review - Source Reconciliation Disclosure

64 Units | NOI $945,000 | Expense Ratio 37.0% | NOI Margin 63.0%

ASSET CLASS	**Multifamily - 64 Units**
DOCUMENTS	**8 uploaded files**
REPORT TIER	**Acquisition Memo**

Executive Summary

Deal overview, operating profile, and primary risk drivers

64-Unit Multifamily

ACQUISITION MEMO

Review - Source Reconciliation Disclosure

Primary Constraint: Rent roll and T12 income evidence remain materially unreconciled; classification is capped pending source reconciliation.

KEY METRICS SNAPSHOT

UNITS

64

OCCUPANCY

93.8%

ANNUAL IN-PLACE RENT

$1,432,800

EFFECTIVE GROSS INCOME

$1,500,000

OPERATING EXPENSES

$555,000

NET OPERATING INCOME

$945,000

EXPENSE RATIO

37.0% (Stable)

NOI MARGIN

63.0% (Stable)

BREAK-EVEN OCCUPANCY

37.0% (Stable)

KEY UPSIDE DRIVERS

- In-place rents trail market by ~19.9% (observed rent gap).
- Operating cushion of 56.8% above break-even occupancy based on in-place performance.

PRIMARY CONSTRAINTS

- Rent roll and T12 income evidence remain materially unreconciled; classification is capped pending source reconciliation.

ACQUISITION MEMO SUMMARY: **REVIEW – SOURCE RECONCILIATION DISCLOSURE**

Occupancy	**93.8%**
Annual In-Place Rent	**$1,432,800**
Annual Market Rent	**$1,718,400**
Annual Rent Upside	**19.9%**
Expense Ratio	**37.0%**
NOI Margin	**63.0%**
Break-Even Occupancy	**37.0%**
Purchase Price	**$13,500,000**
Going-In Cap Rate	**7.0%**

Source-bound acquisition memo summary using operating metrics, verified acquisition context, and disclosure-only support-doc treatment. Additional modeling remains deferred from the launch acquisition memo.

SOURCE CONTEXT

Document treatment and data coverage later enumerate property tax corroboration, market survey context, CapEx context, appraisal context, environmental / Phase I context, and broker email auditability where present.

Uploaded Files

This section lists the files uploaded and associated with this report.

- Stonebridge_Assumptions.pdf - 6/13/2026, 10:08:22 PM
- Stonebridge_Market_Survey.pdf - 6/13/2026, 10:08:22 PM
- Stonebridge_Phase_I_ESA.pdf - 6/13/2026, 10:08:22 PM
- Stonebridge_Appraisal_Summary.pdf - 6/13/2026, 10:08:22 PM
- Stonebridge_Reno_Plan.pdf - 6/13/2026, 10:08:22 PM
- Current_Debt_Stonebridge.pdf - 6/13/2026, 10:08:22 PM
- Rent_Roll_Stonebridge_Lofts_Attack_Test_8.xlsx - 6/13/2026, 10:08:22 PM
- T12_Stonebridge_Lofts_Attack_Test_8.xlsx - 6/13/2026, 10:08:22 PM

Uploaded Renovation / CapEx Document: Structured renovation budget, rent-lift assumptions, and phasing were received and are displayed for source transparency only. Renovation ROI, payback, NOI impact, valuation, and refinance outputs are not modeled.

Acquisition Memo Summary

Source-bound operating and acquisition context

ACQUISITION MEMO SUMMARY

Units	64
Occupancy	93.8%
Annual In-Place Rent	$1,432,800
Annual Market Rent	$1,718,400
Annual Rent Upside	19.9%
Purchase Price	$13,500,000
Going-In Cap Rate	7.0%
NOI Basis	$945,000

Source-bound acquisition memo summary using verified operating metrics and acquisition context. Additional modeling remains deferred unless explicitly supported by the report family and verified source basis.

Operating Snapshot

Verified operating metrics at a glance

OPERATING SNAPSHOT

Units	64
Occupancy	93.8%
Annual In-Place Rent	$1,432,800
Effective Gross Income	$1,500,000
Operating Expenses	$555,000
NOI	$945,000
Expense Ratio	37.0%
NOI Margin	63.0%
Break-Even Occupancy	37.0%

Snapshot is built from verified operating inputs only. No forward projection assumptions are introduced.

Unit-Level Rent Positioning & Value Sensitivity

Market-rent gap and implied value sensitivity

UNIT MIX AND RENT POSITIONING

UNIT TYPE	COUNT	AVG SQ FT	AVG IN-PLACE RENT	DOCUMENTED MARKET RENT	MONTHLY RENT GAP
1BR	32	720	$1,850	$2,050	$200
2BR	32	940	$1,881	$2,425	$544

RENT POSITIONING SUMMARY

METRIC	VALUE
Annual In-Place Rent	$1,432,800
Annual Market Rent	$1,718,400
Annual Gross Rent Upside	$285,600
Rent Gap %	19.9%
Total Units	64
Occupied Units	60
Vacant Units	4
Occupancy	93.8%

Rent roll data indicates in-place rents are below documented market rent across the current unit mix.

Rent Upside / Value Sensitivity

Verified rent gap and implied value sensitivity

RENT UPSIDE / VALUE SENSITIVITY

METRIC	VALUE
Annual In-Place Rent	$1,432,800
Annual Market Rent	$1,718,400
Annual Gross Rent Upside	**$285,600**

IMPLIED VALUE SENSITIVITY AT STABILIZATION

5.0% cap rate	**$5,712,000**
6.0% cap rate	**$4,760,000**
7.0% cap rate	**$4,080,000**

Implied value sensitivity capitalizes the verified annual rent gap at standardized cap-rate assumptions. It remains conditional on market-rent capture and occupancy.

Cap-Rate Value Indication

NOI-based value framework using standardized cap-rate assumptions

CAP RATE VALUE INDICATION

CAP RATE	IMPLIED VALUE	PER UNIT
5.0%	$18,900,000	$295,313
6.0%	$15,750,000	$246,094
7.0%	$13,500,000	$210,937

Derived from reported NOI of $945,000. Cap rates are standardized framework benchmarks, not document-sourced, and do not represent appraised value.

Preliminary Financing Readiness Summary

Lender discussion and acquisition diligence support

PRELIMINARY FINANCING READINESS SUMMARY

Shown for lender discussion and acquisition diligence support only. This Acquisition Memo organizes verified operating evidence, rent-positioning support, acquisition context, and uploaded financing context. It does not represent loan approval, lender commitment, or institutional credit-committee underwriting.

ACQUISITION REQUEST CONTEXT

Purchase Price	**$13,500,000**
NOI Basis	**$945,000**
Going-In Cap Rate	**7.0%**
Units	**64**
Price per Unit	**$210,938**
NOI per Unit	**$14,766**

OPERATING SUPPORT

Effective Gross Income	**$1,500,000**
Operating Expenses	**$555,000**
NOI	**$945,000**
Expense Ratio	**37.0%**
NOI Margin	**63.0%**
Occupancy	**93.8%**
Break-Even Occupancy	**37.0%**

RENT / VALUE SUPPORT

Annual In-Place Rent	**$1,432,800**	
Annual Market Rent	**$1,718,400**	
Annual Rent Upside	**$285,600**	
Rent Gap %	**19.9%**	
5.0% cap rate	**$18,900,000**	**$295,313**
6.0% cap rate	**$15,750,000**	**$246,094**
7.0% cap rate	**$13,500,000**	**$210,937**
Document-derived cap-rate reference	**7.00%**	–

DEBT / FINANCING CONTEXT

Uploaded Existing Debt Context

Interest Rate	**5.95%**
Amortization	**30 years**
LTV	**70.0%**

Proposed Acquisition Financing: Not source-complete / not modeled.

LENDER DILIGENCE CHECKLIST

T12 verified	**Yes**
Rent Roll verified	**Yes**
Purchase assumptions provided	**Yes**
Property tax support	**No**
Current debt context uploaded	**Yes**
Proposed acquisition loan terms complete	**No**
CapEx / renovation plan	**Context only unless verified budget and rent-lift assumptions exist**

Operating Statement (Trailing Twelve Months)

Operating summary based on uploaded financials

INCOME RECONSTRUCTION (TTM)

INCOME LINE ITEM	TTM AMOUNT
No line-item detail available. Effective Gross Income (TTM): $1,500,000.	

OPERATING EXPENSES (TTM)

EXPENSE LINE ITEM	TTM AMOUNT
Property Taxes	$185,000
Insurance	$72,000
Repairs & Maintenance	$104,000
Utilities	$86,000
Property Management	$60,000
Payroll / Admin	$28,000

NET OPERATING INCOME SUMMARY

METRIC	VALUE
Effective Gross Income (TTM)	**$1,500,000**
Total Operating Expenses (TTM)	**$555,000**
Net Operating Income (TTM)	**$945,000**
Operating Expense Ratio	**37.0%**
EGI per Unit (TTM)	$23,438
OpEx per Unit (TTM)	$8,672
NOI per Unit (TTM)	$14,766

Data Coverage & Source Limitations

Core input coverage and omitted advanced surfaces

CORE INPUTS EXTRACTED – SOURCE RECONCILIATION DISCLOSURE.

Required T12 and rent roll fields were extracted, but rent roll and T12 remain materially unreconciled. Review the Source Reconciliation disclosure before relying on variance-sensitive conclusions.

Optional or support documents remain qualitative/context-only unless they are explicitly validated and bound to a modeled input.

Optional underwriting sections are source-constrained where supporting inputs were not verified.

DATASET	FIELDS PRESENT	COVERAGE	MISSING
T12 Operating Statement	4/4	**100.0%**	None
Rent Roll	4/4	**100.0%**	None

DATA COVERAGE / SOURCE RELIABILITY

SOURCE	TREATMENT	USE
T12 Operating Statement	Core quantitative source	EGI, OpEx, and NOI
Rent Roll	Core quantitative source	Units, occupancy, in-place rent, and market rent
Support documents	Context only unless validated	Corroborating support, not an override for modeled core inputs

Advanced financing and return-projection modules remain deferred unless explicitly supported by the report family and verified source basis.

Field extraction completeness does not imply cross-source reconciliation. The T12 and rent roll fields were extracted, but the income scale variance remains unresolved.

Source Context / Support Document Treatment

Modeled core inputs, corroborating support, and context-only documents

Modeled core inputs are limited to T12 and Rent Roll. Corroborating support includes validated property tax support when annual tax evidence aligns with the T12 tax line. Market survey, broker email, appraisal summary, Phase I ESA / environmental, zoning / compliance, and CapEx / renovation notes remain context-only unless explicitly validated for quantitative use. Acquisition context is limited to verified purchase assumptions and document-derived cap-rate reference where supported.

DOCUMENT TREATMENT SUMMARY

Uploaded files are listed for auditability. Only structured source inputs are used quantitatively. Unsupported or unclassified support files are not used to override modeled outputs.

SOURCE TREATMENT / QUANTITATIVE USE

FILENAME	DOCUMENT ROLE	TREATMENT	USE
Stonebridge_Assumptions.pdf	Debt Support Received / Contextual	Debt support received / contextual or deferred	Uploaded existing/current debt context only; not proposed acquisition financing.
Stonebridge_Market_Survey.pdf	Market Rent Context	Context only	Market/rent context only; does not override Rent Roll market rent.
Stonebridge_Phase_I_ESA.pdf	Property Tax Support	Corroborating support	Corroborating property-tax support; does not override T12 totals.
Stonebridge_Appraisal_Summary.pdf	Purchase Assumptions / Acquisition Context	Acquisition context / document-derived acquisition context	Purchase price / going-in cap / NOI basis and proposed acquisition financing context; does not override T12/Rent Roll operating truth.
Current_Debt_Stonebridge.pdf	Debt Support Received / Contextual	Debt support received / contextual or deferred	Uploaded existing/current debt context only; not proposed acquisition financing.
T12_Stonebridge_Lofts_Attack_Test_8.xlsx	Other Support Document	Context only	Listed for auditability only; not used quantitatively.
Rent_Roll_Stonebridge_Lofts_Attack_Test_8.xlsx	Other Support Document	Context only	Listed for auditability only; not used quantitatively.
Stonebridge_Reno_Plan.pdf	Structured Renovation / CapEx Plan	Structured renovation / CapEx context	Document-stated renovation budget, rent-lift assumptions, and phasing are displayed for source transparency only; ROI/payback/returns are not modeled.

Modeled Inputs

No modeled inputs were classified from structured source metadata.

Displayed / Limited Use

- Stonebridge_Assumptions.pdf – Uploaded existing/current debt context only; not proposed acquisition financing.
- Stonebridge_Phase_I_ESA.pdf – Corroborating property-tax support; does not override T12 totals.
- Stonebridge_Appraisal_Summary.pdf – Purchase price / going-in cap / NOI basis and proposed acquisition financing context; does not override T12/Rent Roll operating truth.
- Current_Debt_Stonebridge.pdf – Uploaded existing/current debt context only; not proposed acquisition financing.
- Stonebridge_Reno_Plan.pdf – Document-stated renovation budget, rent-lift assumptions, and phasing are displayed for source transparency only; ROI/payback/returns are not modeled.

Listed but Not Quantitatively Modeled

- Stonebridge_Market_Survey.pdf – Market/rent context only; does not override Rent Roll market rent.
- T12_Stonebridge_Lofts_Attack_Test_8.xlsx – Listed for auditability only; not used quantitatively.
- Rent_Roll_Stonebridge_Lofts_Attack_Test_8.xlsx – Listed for auditability only; not used quantitatively.

EXCLUDED / DEFERRED ANALYSIS

Advanced financing and return-projection modules remain deferred unless explicitly supported by the report family and verified source basis.

Methodology & Data Transparency

Assumptions, methodology notes, and data limitations

InvestorIQ does not assume or gap-fill missing data. Outputs are primarily attributable to uploaded documents and defined modeling frameworks, with transparency and auditability as core design principles.

Assumptions in this memorandum are permitted only when anchored to uploaded documents or standardized underwriting frameworks. Unverified inputs are excluded; no synthetic values are introduced into deterministic outputs.

Document-Backed Acquisition Memo Outputs

InvestorIQ acquisition memo outputs are document-backed and framework-constrained, using uploaded documents and standardized underwriting frameworks. When required inputs are missing, those outputs are omitted rather than inferred.

Methodology Notes

Metrics and tables reflect document-backed inputs, deterministic calculations, and framework-constrained outputs. Missing source data is not gap-filled.

Data Limitations & Missing Inputs

This memorandum is limited to the documents provided and the fields that could be verified. Missing values are disclosed and excluded from analysis.